**DEMO BANK LTD. — CORPORATE CREDIT DEPARTMENT**

# CREDIT APPRAISAL MEMORANDUM

H.G. Infra Engineering Limited · Proposal no. DB/CCG/2026/1187 · 28 October 2026

*UAT DEMO — bank-format CAM prepared for testing from public disclosures; Demo Bank Ltd. is fictional.*

## 1. PROPOSAL SUMMARY

Borrower: H.G. Infra Engineering Limited
CIN: L45201RJ2003PLC018049
Constitution: Public limited company (listed on BSE and NSE)
Sector: Infrastructure
Sub-sector: Road and highway EPC, HAM projects, solar EPC
Banking Arrangement: Consortium (led by State Bank of India; Demo Bank to join as a new member)
Proposal: New fund-based working capital limit (cash credit / WCDL) — new to bank
Amount Requested: Rs 250.00 Cr
Recommended Limit: Rs 200.00 Cr
Tenor: 12 months, renewable
Pricing: 1-year MCLR + 0.75% (9.15% p.a.), payable monthly
Internal Rating: DB-4 (moderate risk) on Demo Bank's 1–10 scale
External Rating: CARE AA (Negative) / ICRA AA- (Positive); ICRA A1+ for short-term facilities

## 2. BACKGROUND OF THE COMPANY

H.G. Infra Engineering Limited (HGIEL), incorporated in 2003 and headquartered in Jodhpur, Rajasthan, is an EPC contractor for national and state highways, expressways, bridges and railway works, and has diversified into hybrid annuity model (HAM) road projects and solar EPC. Revenue was Rs 5,666.68 Cr in FY2026 against Rs 6,051.88 Cr in FY2025, the first decline in five years, after the cancellation of two large MSRTC EPC projects and slower commencement of new orders. The order book stood at about Rs 10,147 Cr (about 1.8x FY2026 revenue).

## 3. PROMOTERS AND MANAGEMENT

The company is promoted by Mr. Harendra Singh (Chairman & Managing Director), with over three decades in road construction; the promoter group holds about 72%. The board has four independent directors. The statutory auditors issued an unmodified opinion on the FY2026 standalone statements with an Emphasis of Matter on search proceedings by the Central Bureau of Investigation; management states there is no impact on the financial statements at this stage.

## 4. INDUSTRY OUTLOOK

Road construction remains a government capital-expenditure priority, but award activity under HAM slowed in FY2026 and competitive intensity has compressed EPC margins. Working-capital cycles in the sector have lengthened on delayed change-of-scope payments and unbilled revenue on HAM projects.

## 5. FINANCIAL PERFORMANCE

| Particulars (Rs Cr) | FY2024 | FY2025 | FY2026 |
|---|---|---|---|
| Revenue from operations | 5,121.74 | 6,051.88 | 5,666.68 |
| EBITDA | 834.57 | 965.94 | 762.41 |
| Profit after tax | 545.49 | 577.12 | 389.14 |
| Tangible net worth | 2,318.49 | 2,884.78 | 3,258.89 |
| Total borrowings | 451.21 | 1,067.92 | 1,627.44 |
| Current assets | 2,577.72 | 3,649.61 | 4,547.78 |
| Current liabilities | 1,628.10 | 2,700.41 | 3,881.19 |

| Particulars (Rs Cr) | FY2024 | FY2025 | FY2026 |
|---|---|---|---|
| Finance cost | 96.40 | 135.90 | 178.50 |
| EBITDA margin (%) | 16.3 | 16.0 | 13.5 |
| Current ratio (x) | 1.58 | 1.35 | 1.17 |
| Debt / EBITDA (x) | 0.54 | 1.11 | 2.13 |
| Interest cover (x) | 8.66 | 7.11 | 4.27 |

EBITDA margin fell from 16.0% in FY2025 to 13.5% in FY2026 and, per CARE, to 8.8% in Q1 FY2027. Gross current asset days rose from 218 to 277; borrowings rose to Rs 1,627 Cr as current assets were funded with short-term debt. Leverage remains moderate (debt / EBITDA 2.1x; tangible net worth Rs 3,259 Cr).

## *6. ASSESSMENT OF WORKING CAPITAL*

| Particulars (Rs Cr) | FY2027 projected |
|---|---|
| Projected turnover | 5,200.00 |
| Total current assets | 5,700.00 |
| Other current liabilities | 2,225.00 |
| Working capital gap | 3,475.00 |
| Margin (25% of current assets) | 1,425.00 |
| Maximum permissible bank finance (method II) | 2,050.00 |
| Existing fund-based limits (consortium) | 1,800.00 |
| Proposed share of Demo Bank | 200.00 |
| Total fund-based limits after proposal | 2,000.00 |

The total fund-based limits of Rs 2,000 Cr are within the MPBF of Rs 2,050 Cr assessed on the projected balance sheet, which assumes realisation of Rs 800–1,000 Cr from completed projects in FY2027.

## *7. KEY RISKS AND MITIGANTS*

Stretched working capital: GCA days of 277; mitigated by HAM monetisation (Rs 1,384 Cr SPA with Neo Infra Income Opportunities Fund, Rs 659 Cr received) and stock and book-debt statements with a 90-day receivable cut-off.

Declining profitability: margins of 8.8% in Q1 FY2027; mitigated by an order book of 1.8x revenue and the completion of the legacy solar project; a minimum EBITDA margin covenant is proposed.

Regulatory / legal: CBI search proceedings (auditors' emphasis of matter); mitigated by an undertaking to report any development within 7 days and a material-adverse-change clause.

Rating outlook: CARE revised the outlook to Negative; a rating trigger of CARE A+ is proposed.

## *8. STRENGTHS*

Two decades of execution track record; geographically diversified order book; moderate leverage; track record of asset monetisation.

## *9. WEAKNESSES*

Elongated working-capital cycle; margin pressure; concentration on government counterparties; large equity commitments of Rs 785 Cr to HAM projects in FY2027.

## *10. SECURITY*

First pari passu charge on the current assets of the company (stocks, book debts, unbilled revenue) with the consortium; second pari passu charge on the movable fixed assets; personal guarantee of Mr. Harendra Singh.

## *11. TERMS AND CONDITIONS*

Drawing power on stock and book debts under 90 days, with 25% margin; quarterly stock audit; joining the consortium inter-se agreement; submission of quarterly unaudited results within 45 days.

## *12. COVENANTS*

TOL/TNW not above 1.25x; debt / EBITDA not above 2.5x; current ratio not below 1.10x; minimum EBITDA margin 9% tested half-yearly; external rating not below CARE A+.

## *13. DEVIATIONS*

Current ratio of 1.17x against the bank's policy minimum of 1.25x — deviation sought; mitigated by the monetisation proceeds expected in FY2027.

## *14. RECOMMENDATION*

Recommended for sanction: a fund-based working capital limit of Rs 200.00 Cr (cash credit / WCDL) as a new member of the SBI-led consortium, at 1-year MCLR + 0.75%, on the security, terms and covenants above, with the deviation on the current ratio approved.

*Prepared by: Relationship Manager, Corporate Banking · Reviewed by: Credit Officer, Corporate Credit Department (UAT demo names withheld)*